

Risk Control

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1

Application and definitions

1.1

Unless otherwise stated, this Part applies to a CRR firm

1. (1) with respect to the carrying on of the following from an establishment in the UK :

1. (a) regulated activities;
2. (b) activities that constitute dealing in investments as principal , disregarding the exclusion in article 15 of Regulated Activities Order ;
3. (c) ancillary activities;
4. (d) in relation to MiFID business , ancillary services ; and
5. (e) unregulated activities in a prudential context;

2. (2) [deleted.]

3. (3) in a prudential context with respect to activities wherever they are carried on; and

4. (4) taking into account any activity of other members of a group of which the firm is a member.

1.1A

2.1A to 2.2B do not apply to a firm with respect to the carrying on of benchmarking activities except to the extent that before IP completion day , they were made to transpose an EU instrument.

1.2

In this Part, the following definitions shall apply: [Note: There are currently no Part specific definitions]

2

Risk Control

2.1

[Deleted.]

2.1A

A firm's risk management procedures must include effective procedures for risk assessment.

[Art. 16(5) second paragraph of MiFID II]

2.2

[Deleted.]

2.2A

[Deleted]

2.2B

[Deleted]

2.2C

In relation to its risk management, a firm must:

1. (1) establish, implement and maintain adequate risk management policies and procedures which identify the risks relating to the firm's activities, processes and systems, and where appropriate, set the level of risk tolerated by the firm;
2. (2) adopt effective arrangements, processes and mechanisms to manage the risks relating to the firm's activities, processes and systems, in light of that level of risk tolerance; and
3. (3) monitor the following:
 1. (a) the adequacy and effectiveness of the firm's risk management policies and procedures;
 2. (b) the level of compliance by the firm and its relevant persons with the arrangements, processes and mechanisms adopted in accordance with 2.2C(2); and
 3. (c) the adequacy and effectiveness of measures taken to address any deficiencies in those policies, procedures, arrangements, processes and mechanisms, including failures by the relevant persons to comply with such arrangements, processes and mechanisms or follow such policies and procedures.

2.2D

A firm must, where appropriate and proportionate in view of the nature, scale and complexity of its business and the nature and range of the relevant services and activities undertaken in the course of that business, establish and maintain a risk management function that operates independently and carries out the following tasks:

1. (1) implementation of the policy and procedures referred to in 2.2C(1); and
2. (2) provision of reports and advice to senior management in accordance with General Organisational Requirements 4.7.

2.2E

Where a firm does not establish a risk management function, on the basis that it is not appropriate or proportionate in view of the nature, scale and complexity of its business, and the nature and range of the relevant services and activities undertaken in the course of that business, in accordance with 2.2D, the firm must be able to demonstrate upon request to the PRA that the policies and procedures which it has adopted in accordance with 2.2C(1) satisfy the requirements in 2.2C(1) to (3).

2.3

A firm must ensure that the management body approves and periodically reviews the strategies and policies for taking up, managing, monitoring and mitigating the risks the firm is or might be exposed to, including those posed by the macroeconomic environment in which it operates in relation to the status of the business cycle.

[Note: Art. 76(1) of the CRD]

2.4

[Deleted.]

2.5

[Deleted.]

2.6

[Deleted.]

2.7

1. (1) A _firm_ must ensure the following:

1. (a) the _management body_ has overall responsibility for risk management and devotes sufficient time to the consideration of risk issues; and
 2. (b) the _management body_ is actively involved in and ensures that adequate resources are allocated to the management of all material risks addressed in the _rules_ implementing the _CRD_ and in the _CRR_ as well as in the valuation of assets, the use of external ratings and internal models related to those risks.
2. (2) A _firm_ must establish reporting lines to the _management body_ that cover all material risks and risk management policies and changes thereof.

[Note: Art. 76(2) of the _CRD_]

3

Risk Committee

3.1

1. (1) A _firm_ that is significant must establish a risk committee composed of members of the _management body_ who do not perform any executive function in the firm. Members of the risk committee must have appropriate knowledge, skills and expertise to fully understand and monitor the risk strategy and the risk appetite of the _firm_.
2. (2) A _firm_ must ensure that the risk committee advises the _management body_ on the _firm?s_ overall current and future risk appetite and assists the _management body_ in overseeing the implementation of that strategy by _senior management_.
3. (3) A _firm_ must ensure that the risk committee reviews whether prices of liabilities and assets offered to clients take fully into account the _firm?s_ business model and risk strategy. Where prices do not properly reflect risks in accordance with the business model and risk strategy, the _firm_ must ensure that the risk committee presents a remedy plan to the _management body_.

[Note: Art. 76(3) of the _CRD_]

3.2

A _firm_ must ensure that the _management body_ in its _supervisory function_ and, where a risk committee has been established, the risk committee:

1. (1) have adequate access to information on the risk profile of the firm and, if necessary and appropriate, to the risk management function and to external expert advice; and
2. (2) determine the nature, the amount, the format, and the frequency of the information on risk which it is to receive.

[Note: Art. 76(4) of the _CRD_]

3.3

In order to assist in the establishment of sound remuneration policies and practices, a _firm_ must ensure that the risk committee, without prejudice to the tasks of the remuneration committee, examines whether incentives provided by the remuneration system take into consideration risk, capital, liquidity and the likelihood and timing of earnings.

[Note: Art. 76(4) of the _CRD_]

3.4

A _firm_ must ensure the following:

1. (1) the risk management function is independent from the operational functions and has sufficient authority, stature, resources and access to the _management body_ ;
2. (2) the risk management function ensures that all material risks are identified, measured and properly reported, is actively involved in elaborating the _firm?s_ risk strategy and in all material risk management decisions and is able to deliver a complete view of the whole range of risks of the _firm_ ; and
3. (3) the risk management function is able to report directly to the _management body_ in its supervisory function, independent from _senior management_ and that it can raise concerns and warn the _management body_ , where appropriate, where specific risk developments affect or may affect the _firm_ , without prejudice to the responsibilities of the _management body_ in its supervisory and/or managerial functions pursuant to the _CRD_ and the _CRR_.

[Note: Art. 76(5) of the _CRD_]

3.5

A _firm_ must ensure that the head of the risk management function is an independent senior manager with distinct responsibility for the risk management function. Where the nature, scale and complexity of the activities of the _firm_ do not justify a specially appointed _person_ , another senior _person_ within the _firm_ may fulfil that function, provided there is no conflict of interest. A _firm_ must ensure that the head of the risk management function must not be removed without prior approval of the _management body_ and is able to have direct access to the _management body_ where necessary.

[Note: Art. 76(5) of the _CRD_]

4

Group Arrangements

4.1

Where an _Article 109 undertaking_ is a member of a _consolidation group_ or a _sub-consolidation group_ , it must ensure that the risk management processes and internal control mechanisms at the level of the _consolidation group_ or _sub-consolidation group_ of which it is a member comply with the obligations set out in 2.3, 2.7 and Chapter 3 on a _consolidated basis_ or a _sub-consolidated basis_.

4.1A

Where this Part applies on a _consolidated basis_ or on a _sub-consolidated basis_ , an _Article 109 undertaking_ must carry out consolidation to the same extent and in the same manner as it is required to comply with the obligations laid down in Parts Two to Eight of the _CRR_ on a _consolidated basis_ or _sub-consolidated basis_.

* Future version of 4.1A after 01/01/2027

4.2

Compliance with the obligations referred to in 4.1 must enable the _consolidation group_ or _sub-consolidation group_

to have arrangements, processes and mechanisms that are consistent and well integrated and that any data relevant to the purpose of supervision can be produced.

[Note: Art 109(2) of the _CRD_]